



True transparency or mere decoupling? The study of selective disclosure in sustainability reporting

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ABSTRACT

Over the last two decades, sustainability disclosure has become a well-established practice among large and medium-sized companies. Despite the increasing number of sustainability reports published annually, concerns have arisen regarding their credibility. Skeptics view sustainability reporting as a form of decoupling – a symbolic practice disconnected from the actual practices. The purpose of this study is to investigate the phenomenon of decoupling in corporate sustainability, exemplified by selective disclosure. Drawing on the counter-accounting approach and institutional theory, we identify forms of selective disclosure and their drivers. We test our hypotheses on a sample of 333 negative events derived from MSCI's controversies database. The analysis reveals that 69 % of negative events were reported selectively indicating a prevalence of decoupling in sustainability reporting. Selective disclosure manifests in three forms: vague disclosure, avoidance, and hypocrisy. Our findings indicate a higher likelihood of selective disclosure in the areas of labor rights/supply chain and human rights/community. Additionally, companies that publish integrated reports are less likely to engage in selective disclosure. Strikingly, neither Global Reporting Initiative (GRI) guidelines nor assurance measures can effectively deter companies from engaging in selective disclosure. Our findings underscore the urgency of transitioning from a sustainability reporting practice primarily driven by business-case considerations to a more dialogic accounting approach.

1. Introduction

“The age of transparency” – this is how Don Tapscott¹ and David Ticoll (2003)² described the business landscape at the beginning of the 21st century. Stakeholders armed with information and communication technology, scrutinize firms, willingly share their insights with others and, if needed, take up collective actions (Shirky, 2008; Tapscott & Ticoll, 2003). This rising stakeholder pressure, accompanied by regulatory efforts, forces organizations to include ethics and sustainability in their strategies, as well as to disclose information regarding their impacts on society and the environment. The latter results in the development of sustainability reporting,

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¹ Don Tapscott is one of the world's leading authorities on the impact of technology on business and society.

² David Ticoll is a researcher, policy advisor and change leader with interests in labour market and business model innovation.

defined as formalized communication with internal and external stakeholders aimed at the provision of information about the firm's social and environmental impacts as well as progress in addressing sustainability goals (Schaltegger et al., 2006).

Sustainability reporting, with an exponential increase in the number of reports published every year (GRI, 2020), has become a well-established corporate practice (Ernst & Young & GRI, 2014). Its proliferation represents the case of the diffusion of organizational change resulting from coercive, mimetic, and normative isomorphic pressures (DiMaggio & Powell, 2000). However, the question of whether the advancements in this domain are leading toward genuine transparency, as forecasted by Tapscott and Ticoll (2003), remains open. After all, the widespread adoption of sustainability reporting may mask considerable diversity in its enactment (Bromley et al., 2012). To attain legitimacy, organizations often respond to institutional pressures with decoupling, by implementing policies and practices that satisfy social expectations, but are disconnected from internal operations (Meyer & Rowan, 1977).

In this study, we focus on selective disclosure, as a form of decoupling in corporate sustainability. Critical accounting scholars have long argued that sustainability reporting does not fulfill the hopes that have been placed on it (Vinnari & Laine, 2017). Instead of becoming an instrument to empower civil society, corporate social and environmental accounts merely reproduce existing power relations (Brown et al., 2009; Dingwerth & Eichinger, 2010), thereby reinforcing the hegemonic position of corporations (Vinnari & Laine, 2017). An increasing body of research indicates that companies primarily engage in sustainability reporting to safeguard their own self-interests, compelled by the need to justify their actions in the eyes of stakeholders (Aerts & Cormier, 2009; Patten, 2020). As institutional pressures on transparency and accountability intensify, many organizations resort to selective disclosure - "a symbolic strategy whereby firms seek to gain or maintain legitimacy by disproportionately revealing beneficial or relatively benign performance indicators to obscure their less impressive overall performance" (Marquis et al., 2016, p. 483). Selective disclosure represents a gap between formal disclosure policies relating to social norms of transparency and accountability and the disclosure practice itself. As such, it exemplifies institutional decoupling.

While the literature provides strong empirical evidence on the presence of selective disclosure (Gray, 2010), less is known about "how and why" companies engage in such practices (Marquis et al., 2016). Drawing upon institutional theory, we investigate the phenomena of selective disclosure by tracing the balance and completeness of sustainability reporting, seeking an answer to the following research questions:

RQ1 What are the forms of selective disclosure?

RQ2 What are the determinants of selective disclosure?

To address these questions, we harness a counter-accounting approach to trace selective disclosure of sustainability-related issues. Counter accounting, also referred to as shadow or silent accounting (Morrison & Lowe, 2021), entails the verification of information disclosed by companies through independent external sources (Macellari et al., 2021). We derive counter accounts from the MSCI's controversies database and compare them with the content of sustainability reports from the sample companies. Subsequently, we employ quantitative analysis to test our assumptions on a sample of 333 firm-event observations.

Our findings allow us to identify three forms of selective disclosure: vague disclosure, avoidance, and hypocrisy, which all together account for 69 % of controversial events. Further, our investigation of determinants of selective disclosure shows that, in general, this practice is more likely to occur in the areas of labor rights/supply chain and human rights/community. Contrary to our predictions, the results indicate that the use of Global Reporting Initiative (GRI) guidelines and third-party audit does not influence the transparency of sustainability reporting. Finally, our findings show that selective reporting is less likely to occur in integrated reports.

Our contribution is twofold. Firstly, the study adds to the critical accounting and institutional literature by offering a fine-grained inquiry into forms and drivers of selective disclosure. In doing so, we aim to address the inconsistencies related to the factors determining firms' vulnerability to selective disclosure. While the institutional literature suggests that decoupling is less likely to occur in the presence of mechanisms that increase goals consistency, standards certainty, and stakeholder monitoring (Greenwood et al., 2011; Meyer & Rowan, 1977), empirical studies provide mixed results on their impact on symbolic practices (Dietz et al., 2021). This suggests that the link between organizational characteristics and selective disclosure is complex and, as we argue, may vary across different forms of this practice. However, to date "the how" of selective disclosure has attracted sparse attention from the academic community (Marquis et al., 2016). By distinguishing between various forms of selective disclosure, we provide a deeper understanding of the tactics used by companies to obscure their negative sustainability impact. Contrary to some institutional scholars proposing that decoupling, including selective disclosure, is merely a temporary phase in the institutionalization and standardization process (Haack et al., 2012), our results provide evidence of its persistence, showing that the practice manifests in various forms.

Further, we investigate determinants of selective disclosure in general, as well as its specific forms, revealing a diversity of drivers across the latter. We draw on institutional theory and its assumptions on the role of inconsistency between organizational and institutional goals, institutional uncertainty, and oversight in determining the organizational policy-practice alignment (Bromley & Powell, 2012). More specifically, we investigate the impact of the issue salience, the use of reporting standards, third-party assurance, as well as the type of report.

The varying salience of specific sustainability issues has been largely neglected in the prior research on determinants of selective disclosure. Yet, as we argue, it might influence the level of consistency between organizational and institutional interests, thereby making less salient issues more prone to becoming the subject of corporate symbolism. By disaggregating sustainability phenomenon and capturing issue-level determinants, we complement the literature and identify topics that are most likely to be ignored by companies in the disclosure of negative events, hence emphasizing the importance of closer monitoring and stronger institutional pressure on these issues.

Moreover, we contribute to the ongoing discussion on the role of international reporting standards (Ben Ismail et al., 2021; Boiral, 2013; Diouf & Boiral, 2017; Michelin et al., 2015), auditor's monitoring (Bagnoli & Watts, 2017; Erin et al., 2022; García-Sánchez et al., 2022), and integrated reporting (Stone & Lodhia, 2019) in enhancing the quality of sustainability disclosure. Our findings show

that neither GRI nor external verification guarantees the provision of high-quality sustainability-related information. As such, they support calls for a fundamental revision of reporting and assurance standards (Dingwerth & Eichinger, 2010; Dumay et al., 2015; Maroun, 2018). We also contribute to the debate around integrated reporting, showing, contrary to many skeptics, that this reporting format may reduce information asymmetry.

Secondly, from a methodological perspective, our paper employs the counter-accounting approach to address the shortcomings of some selective disclosure measures commonly used in the literature (Boiral, 2013; Macellari et al., 2021). In particular, some authors have sought to capture this phenomenon by focusing on the “CSR gap” – disparity between the overall scope of disclosure and sustainability performance scores from analyst firms or rating agencies like Bloomberg, Refinitiv, and MSCI, predominantly reliant on self-reported data. For instance, while investigating market consequences of CSR decoupling, García-Sánchez et al. (2021) measure this phenomenon as the difference between Bloomberg ESG disclosure scores and KLD performance scores. In a recent study on determinants of decoupling,³ Ruiz-Blanco et al. (2022) introduce a similar measure of the difference between the exactness of disclosure – going from narratives to monetarization – and Bloomberg ESG performance scores.

We argue, however, that the “gap approach” does not provide an accurate insight into selective disclosure practice. It fails to distinguish between situations in which poor performers provide disclosures of high scope and quality, honestly portraying their poor socio-environmental impact, and situations in which sustainability laggards provide misleading accounts of their performance by reporting only positive information. In both cases, companies will have high disclosure scores and low performance scores. However, only the latter situation exemplifies decoupling in the form of selective disclosure, which is of interest in this study.

A thorough assessment of corporate transparency requires a comparison between the company’s disclosures and information from external sources regarding its actual performance. The counter-accounting approach used in this study, with its focus on omitted information, makes such an assessment feasible. With sustainability reporting dominated by business logic and interests (Brown, 2017; Brown & Dillard, 2014), counter-accounting gives voice to alternative viewpoints, sometimes unveiling marginalized issues and potential injustices (Ferry & Slack, 2022), providing opportunity for true dialogue (Morrison & Lowe, 2021), and consequently acting as resistance against those in power (Lauwo et al., 2023). Counter accounts have the potential to drive public action, triggering social and environmental change (Vinnari & Laine, 2017). By utilizing a social narrative, counter-accounting offers a tool for a detailed analysis to identify patterns of selective disclosure. Our study draws attention to the critical role of the methodology employed in measuring decoupling in corporate sustainability research, highlighting the necessity for the development of reliable metrics to capture this phenomenon.

While a few studies have harnessed this methodology to investigate sustainability transparency, they present several limitations that we aim to address. These limitations include a focus on a limited number of companies (as seen in a single case study by Adams, 2004), specific sectors (Boiral, 2013; Talbot & Barbat, 2020), reporting scope (e.g. only environmental reporting like in a study by Talbot & Barbat, 2020) or a restricted time period (Boiral, 2013; Macellari et al., 2021). We build upon and extend these studies by employing a mixed-method research strategy to analyze counter accounts of controversial events pertaining to a wide range of sustainability issues across companies from diverse sectors spanning several years. By combining content analysis with quantitative methods, we gain a more comprehensive and nuanced understanding of mechanisms governing decoupling practices within sustainability reporting.

The remainder of the paper is organized as follows. The first section provides the results of the literature review, which builds the theoretical framework and enables us to formulate hypotheses for the empirical studies. We focus on decoupling, understood as an organizational response to institutional pressures, and discuss selective disclosure as an example of this phenomenon within the area of sustainability reporting. The second and third sections outline the methodology and results of the empirical research respectively. Discussion and avenues for further research are presented in the last section.

2. Theoretical framework

2.1. Decoupling and selective disclosure

Not all organizations respond identically to the same environmental pressures (Greenwood & Hinings, 1996; Oliver, 1991). Organizations often comply with social expectations only symbolically (Fiss & Zajac, 2006), buffering internal practices from outside inspection (Pfeffer & Salancik, 1978) or disguising “nonconformity behind a facade of acquiescence” (Oliver, 1991, p. 154). Managers fail to implement formal rules or avoid doing so, which leads to decoupling (Bromley & Powell, 2012) – a “disconnection between organizational structures that enhance legitimacy and organizational practices that are believed within the organization to be technically efficient” (Boxenbaum & Jonsson, 2008, p. 90). In the literature, structures have been interpreted to include organizational elements such as programs, decisions, or policies. Hence, decoupling can be understood as “a gap between policy and practice” or in other words as “policies adopted purely as ceremonial window dressing or implemented, evaluated, and monitored so weakly that they do little to alter daily work routines” (Bromley & Powell, 2012, p. 7). Although decoupling might not necessarily be an intentional response to institutional pressures (Crilly et al., 2012), in this study we focus on the deliberate actions of executives (Westphal & Zajac, 2001; Westphal & Zajac, 1994). In this perspective, decoupling is viewed as “a form of calculated deception” (Crilly et al., 2012, p. 1429).

³ Ruiz-Blanco et al. (2022) use the term “greenwashing” to describe the phenomena under interest. The relationship between the concepts of decoupling, selective disclosure, and greenwashing will be discussed in the following sections.

As decoupling is more likely to occur in opaque organizational fields, characterized by ambiguity, uncertainty, multiple conflicting expectations, and high transaction costs (Jamali, 2010), the field of socioenvironmental governance with its multifaceted nature creates a fertile ground for organizational symbolism (Wijen, 2014).⁴ This has become evident with the increasing institutional pressures on transparency and accountability (Bromley & Powell, 2012), and continued problems of selective disclosure in sustainability reporting (Hess, 2019). In response to stakeholders' demand for credible disclosure, companies worldwide engage in sustainability reporting: this includes the development of policies and procedures that define the approach to reporting, standards, and indicators, as well as decisions on assurance. As such, voluntary sustainability disclosure can be understood as a change in formal organizational structure and public commitment to sustainability and transparency. However, as discussed earlier, organizations vary in their level of actual compliance with such commitments and often engage in selective disclosure. In the language of institutional theory, selective disclosure is an illustration of decoupling – a disconnection between formal practice introduced for compliance purposes and actual operations that are inconsistent with social norms. In other words, it represents a gap between formal transparency and accountability policies, manifested by sustainability disclosure, and actual reporting practice, which is far from transparent. In our understanding of selective disclosure, we follow the GRI materiality principle, which is based on the notion of impact materiality (GRI, 2022) and prescribes the disclosure of information on significant economic, environmental, and social impacts. Selective reporting, therefore, refers to any form of concealment of significant (material) information.

Prior studies offer growing evidence that sustainability reporting is primarily motivated by a company's self-interest. Instead of serving as a platform for open dialogue and inclusive participation that welcomes diverse perspectives, it often turns one-sided and becomes dominated by business-case logic. Consequently, it tends to preserve power asymmetries between shareholders and other stakeholders (Brown & Dillard, 2014). Disclosures often lack balance and completeness (Boiral, 2013), and are limited to mere window-dressing (Moneva et al., 2006). Reports suffer from qualitative information overload (Fernandez-Feijoo et al., 2014) that projects a false impression of sustainability commitment (Boiral, 2013). In selective disclosure, companies tend to manipulate data following the strategy of cherry-picking when they report progress or positive information, and follow optimistic rhetoric, while omitting data regarding their negative impact on society or the environment (Dumay et al., 2015; Huang & Chen, 2015). For instance, Boiral (2013) analyzes 23 sustainability reports of firms in the energy and mining sectors with the highest GRI application levels and finds that they cover only 10 percent of significant news events related to adverse impacts of firm operations. The author outlines three primary criticisms of the practice of sustainability reporting, which include: 1) the growing disconnection between reality and its representations or, as referred to by Adams (2004), a reporting-performance portrayal gap, 2) the control and manipulation of information and 3) the proliferation of misleading images. Even leaders in sustainability reporting, such as pharmaceutical companies (Demir & Min, 2019) or members of the United Nations Global Compact (UNGC) LEAD program (Macellari et al., 2021), resort to selective disclosure to omit more controversial and sensitive issues that might negatively impact the company's image.

2.2. Institutional antecedents of decoupling

Prior literature has identified three main institutional design features that determine the likelihood of decoupling (Dietz et al., 2021). First, the inconsistency between institutional pressures and the efficiency requirements provides “a fruitful starting point for examining organizational responses to shifts in external environments” (Sastri et al., 2002, p. 264). Meyer and Rowan (1977) argue that when conformity to institutionalized rules conflicts with the logic of efficiency and/or stakeholder expectations are inconsistent, managers construct gaps between formal structures and actual operations. In case of mutually conflicting institutionalized rules, stakeholders themselves avoid inspecting organizations and accept their symbolic structures at face value (Meyer & Rowan, 1977). For companies facing contradictory pressures (for instance from the community and shareholders), decoupling is a safeguarding mechanism. It enables them to remain efficient and minimize risks while simultaneously maintaining legitimacy among a broader range of external stakeholders (Jamali et al., 2017; Luo et al., 2017). As noted by Oliver (1991), the discrepancy between the standards against which firm performance is primarily assessed and institutional objectives, raises questions among organizations about the validity or legitimacy of the institutional expectations. As such, it provokes nonconformity with social dictates, challenging established norms and conventions.

The second feature relates to the uncertainty of institutional standards. Prior empirical evidence suggests that high environmental uncertainty has been associated with noncompliance strategies, in particular buffering and concealment (Oliver, 1991). Ambiguous rules allow managerial discretion (Goodrick & Salancik, 1996) and contribute to a low likelihood of punishment for decoupling (Lyon

⁴ In the context of corporate sustainability, decoupling has been often referred to as greenwashing - an “umbrella term” for communication that misleads stakeholders regarding the organization's environmental (in narrow sense) or social (in broader sense) performance, as well as the sustainability-related benefits of its products (Delmas & Burbano, 2011). While the literature provides various conceptualizations of the relationship between the terms ‘greenwashing’ and ‘decoupling’, in this study we follow Tashman et al. (2019) and understand greenwashing as a term describing decoupling processes occurring in the sustainability sphere. Within this definitional approach sustainability decoupling and greenwashing are considered synonyms. Another concept closely related with decoupling is impression management. Merkl-Davies et al. (2011) define impression management “as a social bias which involves controlling or manipulating the attributions or impressions of others with the aim of being perceived favourably” (p. 316–317). While decoupling may be used for impression management, literature recognizes other strategies not necessarily focused on disconnection between formal structures and actual practices. For instance, empirical studies have found that when firm activities and outcomes are desirable, managers tend to adopt assertive impression management strategies to enhance and emphasize their positive outcomes and not to hide negative impact (Aerts & Cormier, 2009).

& Montgomery, 2015). They drive behavioral invisibility, i.e. inability to assess the behavior of actors, allowing firms to disguise noncompliance and avoid loss of legitimacy (Wijen, 2014). In contrast, stringent and clear rules may prevent decoupling by providing organizations “with more definitive yardsticks and fewer exploitable loopholes” (Dietz et al., 2021, p. 337).

Finally, the institutional theory also emphasizes the role of oversight (Ansari et al., 2010; Bromley & Powell, 2012; Delmas & Burbano, 2011; Evans et al., 2006) in pushing organizations to align their formal structures with actual operations. While intentional decoupling occurs in the presence of information asymmetry between the company and its stakeholders (Crilly et al., 2012; Egels-Zandén, 2007), effective third-party monitoring is one of the crucial factors in enforcing compliance and triggering coupling processes (Wijen, 2014). Oversight increases the risk of being caught (Lyon & Maxwell, 2011), decreasing the likelihood of symbolic practices.

3. Hypotheses development

While empirical studies provide strong evidence on the presence of selective disclosure, our understanding of its determinants is still incomplete. We build our conceptual framework drawing on institutional theory and the three institutional determinants of decoupling outlined in the previous section: (1) goals consistency; (2) institutional uncertainty; (3) oversight.

3.1. Goals consistency

Sustainability is not a unidimensional construct, a single company can be engaged in various sustainability issues. Some issues, however, may be of higher interest to crucial stakeholders than others, and as a result, may be less likely to become the subject of selective disclosure. The literature suggests that a company's attention to a particular stakeholder or issue is determined by the stakeholder salience, which is the degree to which decision-makers prioritize competing stakeholder claims (Mitchell et al., 1997). Cognitively bounded managers with limited resources are not able to pay equal attention to all sustainability issues and stakeholder expectations (Järlström et al., 2018). The salience of stakeholders and their interests is determined by three attributes: (1) the stakeholder's power to influence the firm, (2) the legitimacy of the stakeholder's relationship with the firm, and (3) the urgency of the stakeholder's claim on the firm (Mitchell et al., 1997). Stakeholders who, in the eyes of the decision-maker, possess only one or two of the three attributes, are classified as low-salient or moderately salient, respectively. Stakeholders with the simultaneous presence of all three attributes gain highly salient or definitive status and receive management's full attention. We hypothesize that the lower the salience of stakeholders and their issues, the lower the perceived costs related to being caught for symbolic practices and the lower the perceived benefits of compliance. In other words, salience determines the level of consistency between institutional pressures and organizational goals.

Although stakeholder pressures generally strengthen the internalization of environmental practices in organizations, their impact on decoupling depends on by whom they are exercised (Bellucci et al., 2021; Testa et al., 2018). Additionally, some authors provide the empirical evidence that stakeholder salience determines managers' decision-making regarding ESG disclosure (Dong et al., 2014; Thijssens et al., 2015). In their study of decoupling in the implementation of ethics codes, Stevens et al. (2005) reveal that this practice is less likely to occur when a company faces strong pressures from market stakeholders. The authors argue that market stakeholders (e.g. shareholders, employees, suppliers, and customers) have greater salience to top managers than non-market stakeholders (e.g. interest groups, public institutions, and local communities) because of their economic power over resources critical to the production processes as well as their direct impact on sales. Similarly, Testa et al. (2018) find that it is the pressure from financial institutions, shareholders, and suppliers that triggers compliance with environmental policies, while Dong et al. (2014) reveal in their study of Chinese mining companies that local communities are not perceived as salient and do not exert any impact on CSR reporting practice. Moreover, research shows that human rights abuses are not punished by capital markets (Dag et al., 1998), which lowers the salience of these issues in the eyes of managers. Hence, we propose the following hypothesis:

H1: There is a difference in the association between selective disclosure and controversial events related to local communities and human rights in comparison to controversial events related to consumer, governance, and environmental issues.

Further, prior empirical studies provide evidence that particular groups of market stakeholders enjoy different levels of salience.⁵ For instance, some authors show that the power of suppliers (Şener et al., 2016) remains limited. This is particularly evident in the case of multinational corporations (MNCs) with long supply chains, which have been perceived as more powerful than their suppliers and accused of exerting undue pressure on them (Chen, 2018). Similarly, a low level of salience was also revealed concerning employees, who often “find themselves disadvantaged in negotiating with a powerful and sometimes uncompromising employer” (Koku et al., 1997 p. 15, see also Pruitt et al., 1988). As such, their interests may not be equally addressed by managers in sustainability reports (Dong et al., 2014).

In line with this reasoning, we formulate the following hypotheses:

H2: There is a difference in the association between selective disclosure and controversial events related to labor rights and supply chain in comparison to controversial events related to consumer, governance, and environmental issues.

⁵ At the same time, their impact is often analyzed in combination. For instance, exploring the influence of market stakeholders' pressures on the adoption of ethics codes, Stevens et al. (2005) used a combined measure without differentiating between different types of market stakeholders.

3.2. Institutional uncertainty

Wijen (2014) argues that institutions such as sustainability standards offer institutional clarity and stimulate adopters to address a broader range of issues, not only by building their awareness but also by motivating them to comply with stakeholders' expectations. The latter results from the higher risk of getting caught in noncompliance (Delmas & Burbano, 2011) and from legitimacy gains related to the use of a recognized standard (Sine et al., 2007). In the area of voluntary sustainability reporting, GRI is viewed as the most prominent standard worldwide. It serves as a crucial tool for strengthening standardization and rigor in reporting, as well as promoting a common language and indicators (Diouf & Boiral, 2017). Literature provides some evidence on the positive effect of GRI on corporate transparency. Graafland and Smid (2019) use GRI as a proxy for reporting quality and find that it decreases CSR policy-practice decoupling. García-Sánchez et al. (2022) and Ruiz-Blanco et al. (2022) provide similar results, revealing that adherence to GRI guidelines reduces the gap between the scope of CSR disclosure and actual performance.

However, institutional research also shows that for standards to effectively compel companies toward compliance, there must be stringent external monitoring and enforcement (Haack et al., 2012; Wijen, 2014). While GRI is not supported with such mechanisms, it has been criticized for failing to shift the balance of power towards civil society (Dingwerth & Eichinger, 2010). GRI is believed to promote a business-centric (Dumay et al., 2010) and Western-oriented (Hazelton et al., 2023) approach to sustainable development, and consequently falls short in addressing the needs of stakeholders, particularly in developing countries - a deficiency that has also been noted for the International Sustainability Standards Board's reporting framework (Kulik & Dobler, 2023). Boiral (2013) and Macellari et al. (2021) show that selective disclosure is common among companies using GRI as their reporting framework. Adherence to GRI does not automatically enhance transparency, as its impact on disclosure quality depends on the managerial approach to reporting. GRI serves as a tool to increase the balance, comparability, and precision of the report, but only for companies focused on substantive information regarding the results of sustainability-related initiatives (performance-related disclosure) and not those providing information merely on developed programs and policies in this area (Michelon et al., 2015). Due to its flexibility and voluntary character, GRI offers a great deal of managerial discretion and as such can easily be used symbolically.

Given this contrasting evidence in the literature, we formulate the following hypothesis:

H3: There is a difference in the association between selective disclosure and the use of GRI in comparison to when no GRI is used.

3.3. Third-party monitoring

As the socioenvironmental consequences of business operations, especially from remote places, "are not embodied in physical product characteristics" (Wijen, 2014, p. 307), they are invisible to external stakeholders. In the absence of strong monitoring from social activists (Bagnoli & Watts, 2017) or public institutions (Simnett et al., 2009), companies purchase voluntary assurance to increase stakeholder confidence in the credibility of their disclosures. Brown-Liburd et al. (2018) perceive assurance as "representative of a company's commitment to its stakeholders" (p. 279). The literature does indeed offer empirical evidence that external assurance, especially one provided by accountants (García-Sánchez et al., 2022), can increase the accuracy of the sustainability-related information provided (Braam et al., 2016; Ruiz-Blanco et al., 2022; Sauerwald & Su, 2019; Sethi et al., 2017). Basing on the argumentation above, we assume that:

H4: There is a difference in the association between selective disclosure and report assurance in comparison to non-audited reports.

However, companies can buffer themselves from external scrutiny (including the one exerted by auditors) of their disclosures and increase information asymmetry by harnessing different forms of reporting. Traditional annual reports, given their focus on financial performance, are found not to reflect (in a sufficient manner) various types of intangible capital influencing a firm's value creation process (Adams & Simnett, 2011). At the same time, stand-alone sustainability reports aim at maximizing perceptions of an organization's legitimacy (Laufer, 2003) and often give biased accounts of a firm's sustainability performance (Boiral, 2013). In addition, they remain isolated from the organization as a whole (Brown-Liburd & Zamora, 2015) and "merely exacerbate the already overwhelming amount of disclosure provided without adding any further insight" (Adams & Simnett, 2011, p. 294). Empirical evidence reveals that sustainability reports are dominated by qualitative information and confusing language that decreases the clarity of disclosure and makes it easier for companies to obfuscate their poor performance (Diouf & Boiral, 2017). Macellari et al. (2021) find that the length of the sustainability report and the quantity of information provided are negatively associated with the disclosure's transparency and completeness.

In light of the shortcomings of annual and stand-alone reports, some authors see an opportunity for improvement in the quality and institutionalization of sustainability reporting in the rise of the integrated reporting (IR) concept (Adams, 2015; De Villiers et al., 2014; Eccles & Krzus, 2010). While IR has been gaining importance among investors and companies (Stubbs & Higgins, 2018), it is viewed as a powerful tool to move sustainability issues from the periphery of business to its mainstream (Adams et al., 2016). Despite this, empirical studies provide inconsistent evidence on IR's impact on the quality of disclosure. Some show that IR is often characterized by low readability (Stone & Lodhia, 2019), tends to be ceremonial (Ahmed Haji & Anifowose, 2016; Setia et al., 2015), and fails to provide information of high quality (Lock & Seele, 2016; Pistoni et al., 2018). Empirical studies "signal a prevalence of form over substance" in IR (Pigatto et al., 2023). Firms offer biased integrated disclosures with limited forward-looking and quantitative data, avoiding information about negative results (Stacchezzini et al., 2016). Moreover, Flower (2015) strongly criticizes the IR guidelines for deviating from their original approach of sustainability accounting and the concept of 'value for society', and instead, promoting 'value for investors.'

Other studies provide contrasting results, revealing that the transition to IR is accompanied by an increase in the assurance of non-financial information (Clayton et al., 2015; Sierra-García et al., 2015), which might lead to increase transparency. Furthermore, a

single case study by Montecalvo et al. (2018) reveals an increase in the balance and materiality of sustainability disclosures in a state-owned enterprise after the introduction of an integrated disclosure process. Similarly, in their analysis of a South African company, McNally and Maroun (2018) note that integrated reporting enables organizational change by introducing a more proactive reporting system that facilitates management control and promotes a broader understanding of value-creating processes. Considering the evidence from prior studies, we propose the following hypothesis.

H5: There is a difference in the association between selective disclosure and the use of integrated reporting in comparison to the use of annual and sustainability reporting.

Fig. 1 depicts our conceptual framework and hypothesis.

4. Research design

4.1. Methods

In this mixed-methods study, we examined how companies respond to controversial events with adverse impacts on society and the natural environment in their publicly available sustainability reports. Our aim was to address the following research questions:

RQ1 What are the forms of selective disclosure?

RQ2 What are the determinants of selective disclosure?

For sustainability reporting, we categorized disclosures in CSR, sustainability and integrated reports, as well as sustainability/CSR sections included in annual reports. Following the literature review, we assume that in the face of rising institutional pressures on transparency and accountability companies may harness two approaches. They can conform to stakeholder expectations by disclosing and explaining their negative impact in sustainability reports as well as by providing some policies and/or procedures to prevent controversial events in the future. Alternatively, companies may resort to policy-practice decoupling. While companies adopt the policy of sustainability reporting that, according to international standards, enforces complete and balanced disclosure, they avoid disclosure of controversial issues.

Following Adams (2004), Boiral (2013), and Macellari et al. (2021) we employed a counter-accounting approach to address our research questions. Counter or shadow accounting is “a particular form of social accounting produced by external organizations (...) on their representation of the social and environmental impacts of others’ practices” (Dey et al., 2011, p. 65, emphasis in original). Counter accounts originate from non-governmental organizations (NGOs), newspapers, governmental agencies, and extra-financial rating agencies to represent the voices of the less powerful stakeholders (Denedo et al., 2017; Macellari et al., 2021). They were found to successfully give voice to marginalized groups or perspectives (Norris et al., 2023). Shadow accounting possesses, as some still argue,⁶ significant emancipatory potential (Gallhofer et al., 2006; Himick & Ruff, 2020; Twyford et al., 2022), especially if produced within social movements (Cooper et al., 2005; George et al., 2023). As such, counter accounts can serve as a means to elucidate the perceived deficiencies in corporate sustainability reporting (Tregidga, 2017).

4.2. Sample selection

We derived our sample and counter accounts on companies’ sustainability performance from the MSCI ESG Controversies database in May 2019. MSCI is a global consulting company that provides evaluations and ratings of companies concerning their environmental, social and governance (ESG) disclosure and performance. MSCI ESG Controversies is one of the company’s research products. It provides assessments of controversies concerning the negative environmental, social, or governance impact of operations, products, and services. MSCI ESG Research analysts identify new cases of controversies and update existing cases by researching company public documents, media sources, and NGO publications.

The MSCI ESG Controversies database encompasses a ranking of companies and company reports that include:

- Overall company score and flag:
 - o Red (score 0) - at least one very severe controversy.
 - o Orange (score 1) - at least one severe controversy.
 - o Yellow (score 2, 3, 4) - noteworthy controversies.
 - o Green (score 5 or above) - either less significant controversies or none.
- Scores and flags for each of the three ESG pillars, the five stakeholder sub-pillars, and each Key Performance Indicator (KPI) (see Table 1 for a complete list of sub-pillars and KPIs).
- Scores, flags, KPIs, and assessments of each controversy case.
- Narratives for the most significant cases that provide the history of the controversy.

For our study, we selected companies that were red flagged. At the time of data collection, the total sample of companies with a controversy score included 10,001 firms. In particular, the green flag (less significant or no controversies) covered 8,821 companies,

⁶ There has been a growing body of work in the critical accounting literature contesting the transformative potential of counter accounts (George et al., 2023; Perkiss et al., 2021) or even suggesting their attritional consequences (Tweedie, 2022). However, this discussion, though extremely important for further development of the field, lies beyond the scope of our study.

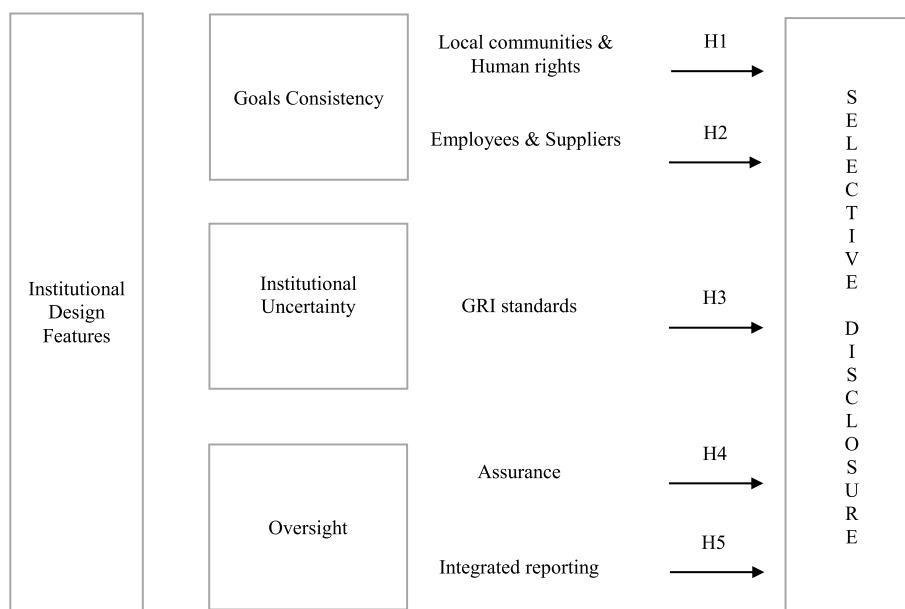


Fig. 1. Institutional determinants of selective disclosure.

Table 1

MSCI ESG controversies indicators.

ESG pillar	Sub-pillar	KPI
Environment	Environment	Biodiversity and land use Toxic emissions and waste Energy and climate change Water stress Operational waste Supply chain management Other
Social	Customer	Anticompetitive practices Customer relations Privacy and data security Marketing and advertising Product safety and quality Other
	Human rights/community	Impact on local communities Human rights concerns Civil liberties Other
	Labor rights/supply chain	Labor management relations Health and safety Collective bargaining and union Discrimination and workforce diversity Child labor Supply chain labor standards Other
Governance	Governance	Bribery and fraud Governance structure Controversial instruments Other

Source: MSCI ESG.

followed by the yellow flag (noteworthy controversies) with 814 companies, and the orange flag (at least one severe controversy) with 328 firms. In line with the materiality principle, we investigated the sample of firms found to be engaged in at least one very severe controversy and consequently rated with the red flag. Out of 33 red-flagged companies, we excluded 2 from the study because they did not provide any form of sustainability disclosures. Consequently, the final sample consisted of 31 companies from six industries.

After reviewing the MSCI ESG Controversies reports of every company in the sample and, following the materiality principle, we selected controversies with the ongoing status (as of May 2019) and the two worst assessment scores: severe and very severe. Due to the assessment of the controversies as severe and very severe, these issues may affect the financial as well as sustainability performance of the analyzed companies and are expected to be addressed by them. We identified 99 such controversies.

Most controversies are not single events, but ongoing, long-term issues. Thus, we investigated the history of each controversy and its updates available in MSCI reports. The updates illustrate events related to a particular controversy. For each of the identified controversies we selected major updates (maximum one per year) as assessed by the agency and included them as events (observations) in our study. We excluded events that occurred before the company started to publish a sustainability report and the most recent events, for which sustainability reports were not yet available at the time of the study. We also dropped 8 observations for which the reports were not available online. This yielded sample consisted of 333 controversial events that occurred between January 2008 and May 2019. Table 2 shows an example of a controversy and the negative events associated with it.

Table 3 shows sample companies with the number of controversies, events, and industries.

4.3. Data analysis

The data analysis was conducted in four steps. First, to understand the nature and the context of each controversy we read the narratives provided by MSCI's analysts, selected major events related to the controversy as assessed by the agency, and collected information by hand on the event characteristics (sub-pillar and KPI; severity; type) that were transferred to Excel spreadsheet.

Second, tracing selective disclosure practice, we conducted a content analysis of sustainability, CSR, and integrated reports as well as alternatively, in the case of absence thereof, sustainability/CSR sections in annual reports. We analyzed 168 reports that cover all sample events. We used keywords describing the event to identify the relevant sections of the document, which were then read thoroughly to identify whether and how each event was disclosed. We employed directed content analysis (Hsieh & Shannon, 2005) with codes predetermined based on the literature review. When tracing the presence of the event disclosure, we used assessment codes following Boiral (2013): no disclosure, vague disclosure (for events reported incompletely or ambiguously), and comprehensive disclosure. The assessment for each controversy was conducted in the coding spreadsheet prepared in the first step of data analysis.

Third, we expanded the content analysis to capture general disclosure regarding ESG performance in sub-pillars identified as controversial. Here we did not look for references to the controversial event itself, but we traced whether the company disclosed any positive information on sustainability practices in the KPI in which the event occurred. The practices included sustainability policies, procedures, and programs. To identify them we used keywords related to particular KPIs (e.g. KPIs: water stress – keywords: water quality, water supply, water shortage, water policy, etc.) to search through the analyzed documents. The disclosure on sustainability practices was evaluated using a simple binary code (0 for no presence of disclosure; 1 for the presence of disclosure). The results of this step were combined with data from steps 1 and 2.

Finally, we collected data on the sustainability reporting practice by sample companies identifying the adoption of GRI, assurance by an independent auditor, and type of the report.

Table 4 presents the complete list of categories, codes, and scores used to assess controversy disclosure.

In the Appendix, we provide definitions of the variables used in the analysis. The quantitative analysis was conducted with the use of Stata 17 software.

5. Results

5.1. Types of selective disclosure

The very basic dimension of selective disclosure relates to the question of whether disclosure of any information regarding a negative event is present in the sustainability report. Within this dimension, three reporting practices have been identified: (1) comprehensive disclosure, (2) vague disclosure, and (3) no disclosure.

Firstly, **comprehensive disclosure**, as opposed to selective disclosure, is a detailed explanation that provides information about the context of the event, important facts, and the company's response. It allows the reader to easily determine *what* happened (including the scale of the impact), *who* was involved in the event, *why* it happened (or at least what is being done to determine the causes), and *how* the company resolved the issue or intends to resolve it (or at least what immediate measures were undertaken). 31 % of the identified events were disclosed in this manner. Atlantia's and Shell's disclosures can serve as instructive examples of comprehensive reporting. In its report for 2018, Atlantia informed about the collapse of Morandi Bridge along a tollway operated by Autostrade per L'Italia (a majority-owned subsidiary of Atlantia) that resulted in the death of 43 people. The company addressed this issue at the very beginning of its report with a two-page long explanation, including information about the immediate corrective and remedial measures. Another example is Shell's response to the oil tanker explosion:

Outside our reporting scope and thus not reflected in these [transport safety] indicators is a devastating road-tanker incident that occurred in Pakistan in June 2017. A tanker, operated by a contractor, was transporting fuel from the Shell Pakistan Limited oil terminal in Karachi to Vehari when it overturned in the central Punjab province resulting in a fuel spill. Following the accident, people from a nearby village approached the site to collect the fuel spilling from the tanker. Tragically, the fuel ignited and more than 200 people died and more were injured. Shell Pakistan Limited is implementing a long-term relief plan for those impacted (Shell, 2017, p. 60).

Secondly, **vague disclosure** is the provision of very general, incomplete (missing facts), or ambiguous information that hinders

Table 2

Company, controversy, and events – example.

Company	Controversy	Events	Year
SCCO	Tia Maria Copper Mine: Community Opposition Due to Potential Environmental Impact in Peru	In non-binding consultations held in several rural districts of Arequipa, approximately 90 percent of the participants voted against the Tia Maria project.	2009
		Another violent protest occurred in Islay before a public hearing to present Southern Copper's environmental impact assessment.	2010
		Three fatalities and approximately 50 injuries resulted from a violent protest at Islay province in Arequipa region.	2011
		Peru protests renew on eve of Tia Maria copper project hearing.	2013
		Peru orders state of emergency to quell deadly anti-mining protests	2015
		According to Southern Copper, there were four ongoing lawsuits against its Peruvian subsidiary involved in the Tia Maria project	2016
		Residents still opposed to the project as clashes between hundreds of protesters and local police were reported as during the day of the hearing.	2017
		Without a social license, Southern strongly pressures the government to start the Tia Maria project.	2018

Table 3

Sample companies.

Company	Number of controversies	Number of events	Sector
Acacia	1	5	Extraction
Atlantia	1	1	Services
Barrick Gold	6	25	Extraction
Bayer	9	27	Chemicals
BHP Billiton	6	19	Extraction
Braskem	1	4	Chemicals
Coal India	2	5	Oil & Gas
Corecivic	1	1	Services
Freeport -Mcmoran	3	9	Extraction
GEO Group	2	2	Services
GMK Noril'skiy Nikel' Pao	2	10	Extraction
Grupo Mexico	5	23	Extraction
Harmony Gold Mining	3	14	Extraction
JBS	4	5	Manufacturing
Jiangxi Copper	1	3	Extraction
Mexichem	1	3	Chemicals
Novartis	4	11	Chemicals
NTPC	4	8	Energy
Petrobras	3	9	Oil & Gas
Prosegur	1	6	Services
SCCO	4	19	Extraction
Serco Group	1	6	Services
Severstal	1	2	Manufacturing
Shell	3	15	Oil & Gas
South 32	1	1	Extraction
Tiger Brands	1	1	Manufacturing
Tokyo Electric Power	5	36	Energy
Vale	9	21	Manufacturing
Volkswagen	2	5	Manufacturing
Walmart	7	26	Services
Wells Fargo	5	11	Services
Total: 31 companies	99	333	

stakeholders' assessment of company's performance and as such can be viewed as a form of selective disclosure. In our sample, 28 % of events were addressed with vague disclosure. This is illustrated by the case of Barrick, which had been criticized over its relocation programs amid reports of violent clashes between villagers and mine security personnel. In 2009 in the so-called "Operation Ipili", police, allegedly in cooperation with the mine's security forces, burned down approximately 300 houses used by illegal miners, forcibly evicting approximately 1,000 indigenous people from the area. With the following disclosure, the company failed to show the magnitude of the event's impact and to address the allegations regarding its involvement in it:

The Government of Papua New Guinea [PNG] deployed approximately 150 police officers to restore law and order in the central highlands of Enga Province, near the Porgera mine, as part of "Operation Ipili." The purpose of the police deployment was to address a dramatic deterioration in law and order and the persistent threats to the safety and security of all lawful citizens throughout the region (Barrick, 2009, p. 67).

Table 4
Categories, codes, and scores used in the event disclosure assessment.

Category	Code	Score
Presence of the disclosure (whether a company addresses the event in the report)	No disclosure	0
	Vague disclosure	1
	Comprehensive disclosure	2
Sustainability practices disclosure (whether a company discloses information regarding KPI, in which a negative event occurred)	No disclosure	0
	Disclosure	1
Standard (whether the report in a given year is prepared according to GRI)	Non-GRI	0
	GRI	1
Assurance (whether the report in a given year is assured by a third party)	Not assured	0
	Assured	1
Type of the report (whether the report in a given year is in the form of an annual, sustainability, or integrated report)	Annual	0
	Sustainability	1
	Integrated	2

Another example is Grupo Mexico's response to the opposition to the Tia Maria Cooper Mine project. In 2015 thousands of residents in Islay province who were opposed to the mine staged protest actions, while Peru's government halted talks with the company over the construction permit. The vague disclosure that can be found in the company's sustainability report is the following:

We are currently waiting for the construction permit, which was delayed by the Peruvian government due to certain pressures from anti-mining groups. In response to this, the Company implemented a multifaceted plan in 2015 to explain the characteristics and benefits of the project, particularly in environmental terms, including a national media campaign (Grupo Mexico, 2015, p. 56)

Such disclosure does not allow the reader to understand the context of the controversial event, including what concerns local communities had about the project's environmental impact, what the scale of any such concerns was, whether any social dialogue was conducted by the company, and finally, what benefits stemming from the project were mentioned in the report.

Other examples of vague disclosure include a brief, sometimes indirect note about the negative event in the sustainability report with reference to other corporate documents (annual reports, topic-specific reports, etc.). The case of Novartis serves as a good illustration of this practice. At the time the analysis was conducted, MSCI had reported four significant litigations against the company, three related to bribery and one concerning price-fixing. While the company did not directly address these issues in sustainability reports, the GRI Content Index provided at the end of each report included a reference to Annual Reports, where information on "legal actions for anti-competitive behavior, anti-trust, and monopoly practices" (Novartis, 2017, p. 52) could be found. Such referencing of other corporate documents is a commonly used practice in sustainability reporting that enables companies to prepare concise and user-friendly reports. However, when used for significant controversies this practice decreases the completeness and balance of the report. It creates the impression that the company intentionally conceals information concerning negative events. As such we classify it as selective disclosure in general and vague disclosure in particular.

Finally, **no disclosure** was found for 41 % of events in our sample. For instance, in 2016 Oxfam America published a report titled 'No Relief: Denial of Bathroom Breaks in the Poultry Industry', which detailed poor working conditions at JBS SA's poultry processing facilities in the United States, specifically concerning the lack of adequate bathroom breaks. The company failed to address this issue in its *Annual and Sustainability Report 2016* (JBS, 2016). It also did not provide any information in its 2017 publication (JBS, 2017) on its involvement in the so-called Meat Scandal that broke out in 2017 as a result of Brazil's Federal Police investigation of meat processing companies. The authorities found evidence that meat companies used chemicals to improve the appearance of rotten meat, as well as bribed health inspectors and politicians to have this meat sold locally and overseas.

While conducting the content analysis we also collected data regarding the disclosure of any positive information in the area where the negative event occurred. Combining this data with data on no disclosure allowed us to identify two subtypes of the latter. First, **avoidance** can be illustrated by the controversy related to multi-year strikes at three mines in Mexico owned by SCCO. Between 2013 and 2018, for which MSCI reported updates for this controversy, SCCO failed to disclose any information regarding these strikes and completely sidestepped the subject of collective bargaining or relations with the unions in their reporting. Such withholding of communication and avoidance of threatening topics are believed to be powerful strategies of social control (Cho, 2009; Jaworski, 1993).

However, as our analysis revealed, withholding of information about the negative event may be accompanied by disclosure of respective positive information about the company's activities within the same area where the controversy occurred. The company does not simply avoid the topic. It masks the existence of the problem by emphasizing policies and programs that were put in place to prevent such problems from happening. We label this second subtype of no disclosure as **hypocrisy**, defined as "inconsistencies between talk and action" (Christensen et al., 2020, p. 327). The alleged price-fixing of bread in Walmart Canada's disclosure serves as an example of this form of selective disclosure. In its *Global Responsibility Report 2017*, Walmart manipulated information by failing to

address the issue of the criminal investigation launched by the Competition Bureau in 2017, and by making positive statements about its antitrust compliance initiatives (Walmart, 2017). In our sample, avoidance, and hypocrisy were found for 9 % and 32 % of cases, respectively.

Table 5 provides a summary of our results.

5.2. Determinants of selective disclosure

The quantitative analysis constituted the second part of our study, to verify the formulated hypotheses. We conducted the analysis in two steps. Firstly, we used a Chi-Squared test with a simulated p-value⁷ (owing to the small sample size) (Hope, 1968) to check the null hypothesis of whether selective disclosure is not associated with the ESG sub-pillar, the use of GRI, report assurance, and the adoption of integrated reporting. In addition, since the results indicated an association between selective disclosure and ESG sub-pillar, and the type of report we performed pairwise analysis to identify which sub-pillars differ, where we accounted for multiple testing in interpreting p-values (the conclusions are robust with respect to the chosen correction method). The adoption of Chi-Square tests allowed us to test for the initial evidence on the differences between selective and comprehensive disclosure and between different types of selective disclosure (vague, avoidance, denial). Secondly, we ran multivariate logistic regression to determine the association between selective disclosure and the set of chosen characteristics (ESG pillar, use of GRI, assurance, and integrated report). Due to the low number of observations in the avoidance subsample, we were not able to run the model. However, we were able to capture the determinants of this form of selective disclosure in Chi-Square tests.

First, we tested H1 and H2, assuming the link between selective disclosure and the area of controversy event, for which we use the ESG sub-pillar as a proxy. We adopted the dichotomous distinction between selective and comprehensive disclosure. Then, following the findings of the qualitative study, we distinguished between three types of selective disclosure – vague, avoidance, and hypocrisy. The results are presented in Table 6.

As shown in Table 6, we observe a statistically significant association between the ESG sub-pillar of controversy event and the type of disclosure with both ways of measurement – selective versus comprehensive disclosure and distinct types of selective disclosure. Selective disclosure is more likely to occur in the case of labor rights/supply chain and human rights/community events respectively, showing a higher frequency of 78.08 % and 77.12 %, respectively. Considering the distinct types of selective disclosure, we note that avoidance (26.03 %) and hypocrisy (45.21 %) are most likely to occur in relation to labor rights/supply chain issues. Vague disclosure is more likely in the case of controversies relating to the environment (44.44 %), while avoidance is less likely regarding environment and governance with the frequency of zero cases of both categories. For customer-related negative events, we see the highest probability of comprehensive disclosure. Overall, the results support that hypotheses H1 and H2 can be true. To verify them we ran a post-hoc Bonferroni test using the pairwise analysis presented in Table 7.

The results in Table 7 indicate that human rights/community and labor rights/supply chain events differ statistically significantly from customer events. We did not find other statistically significant differences.

Next, we analyzed the assumed link between selective disclosure and the use of GRI standards testing hypothesis H3. The results are given in Table 8.

As shown in Table 8, the analysis between the use of GRI standards and selective versus comprehensive disclosure did not reveal statistically significant results and hence provided no support for hypothesis H3. Nevertheless, once we consider the three distinct types of selective disclosure the association is statistically significant. Specifically, we found that while the use of GRI does not increase the likelihood of comprehensive disclosure once the company resorts to selective disclosure, it is less likely to use avoidance if it reports according to GRI.

To verify hypothesis H4 we test the assumption of the link between assurance of the report and selective disclosure. The results are presented in Table 9.

As shown in Table 9, the analysis of the relationship between assurance and selective versus comprehensive disclosure did not reveal statistically significant results (no support for hypothesis H4). However, regarding distinct types of selective disclosure, the associations are statistically significant. Specifically, if a company decides to report selectively, it is less likely to use avoidance, but more likely to provide vague information in reports audited by an external auditor.

Finally, following the assumption of hypothesis H5, we test whether there is a link between selective disclosure and the type of report. The results are given in Table 10.

As shown in Table 10, an integrated report is more likely to produce comprehensive disclosure. Both integrated and sustainability reporting are less likely to lead to the avoidance of a controversial event. The results support hypothesis H5. To verify it statistically we ran a post-hoc Bonferroni test, using the pairwise analysis presented in Table 11.

In Table 11 we report the p-value of the multiple testing. The results show that disclosure differs between all three types of reports.

In the second step, we tested our hypotheses and investigated whether a set of selected variables can predict the type of disclosure. More specifically, we tested whether controversies related to human rights/communities versus the benchmark of governance controversies (H1) and labor rights/supply chain versus the benchmark of governance controversies (H2) differentiate the prediction for selective disclosure occurrence. Further, we verified if assurance, the use of GRI standards, and the use of report format (annual vs.

⁷ The p-values of the Chi-Squared test are normally computed using the theoretical distribution of the test statistic that is valid only asymptotically (i.e. for large samples). Since the sample size in our study is not large, we instead use the simulated p-value computed using the Monte Carlo method. This method was first proposed by Hope (1968).

Table 5
Disclosure of negative events in sustainability reporting.

Reporting practice		Description		Frequency	
Comprehensive		A detailed explanation that provides information about the context of the event, important facts, and the company's response.		31 %	
Selective disclosure:		A symbolic disclosure strategy that takes one of the following forms:		69 %:	
Vague		Provision of very general, incomplete (missing facts), or ambiguous information that hinders stakeholders' assessment of an organization's performance		28 %	
No-disclosure	Avoidance	No reference to the negative event	No reference to the KPI in which the negative event occurred	41 %	9 %
	Hypocrisy		No reference to the negative event with a positive statement regarding KPI, in which it occurred		32 %

Table 6

Selective disclosure and area of controversy, Chi-Squared (N = 333).

ESG sub-pillar and distinct type of disclosure (p < 0.01)					
Sub-pillar	Comprehensive	Selective disclosure	Sum		
Customer	55.56	44.44	100.00		
Environment	36.51	63.49	100.00		
Governance	39.53	60.47	100.00		
Human rights/community	22.88	77.12	100.00		
Labor rights/supply chain	21.92	78.08	100.00		

ESG sub-pillar and distinct type of disclosure (p < 0.001)					
Sub-pillar	Comprehensive	Vague	Avoidance	Hypocrisy	Sum
Customer	55.56	19.44	2.78	22.22	100.00
Environment	36.51	44.44	0.00	19.05	100.00
Governance	39.53	30.23	0.00	30.23	100.00
Human rights/community	22.88	33.05	7.63	36.44	100.00
Labor rights/supply chain	21.92	6.85	26.03	45.21	100.00

Notes: The results show a statistically significant association between the type of disclosure (comprehensive and selective) and the ESG sub-pillar of controversy. Specifically, selective disclosure is revealed in controversies on human rights/community (77%) and labor rights/supply chain (78%). The second part of the table reveals a statistically significant association between the type of disclosure (comprehensive, vague, avoidance and hypocrisy) and ESG sub-pillar of controversy. It shows that hypocrisy takes place more often in controversies on labor rights/supply chain (45%), while vague disclosure in controversies related to the environment (44%).

Table 7

Selective disclosure and ESG sub-pillar, pairwise analysis (N = 333).

Sub-pillar	Customer	Environment	Governance	Human rights/community
Environment	0.506			
Governance	1.000	1.000		
Human rights/community	0.019*	1.000	0.387	
Labor rights/supply chain	0.05*	0.730	0.1	1.000

Notes: Post-hoc runs with the use of Bonferroni tests, significance level: *0.05.

The results show a statistically significant association (marked as *) between the type of disclosure (comprehensive, vague, avoidance, and hypocrisy) and the ESG sub-pillar of controversy for human rights/community and labor rights/supply chain.

Table 8

Selective disclosure and the use of GRI standards, Chi-Squared (N = 333).

GRI and distinct type of disclosure (p > 0.1)					
Use of GRI	Comprehensive	Selective	Sum		
No	27.17	72.83	100.00		
Yes	32.37	73.63	100.00		

GRI and distinct type of disclosure (p < 0.001)					
Use of GRI	Comprehensive	Vague	Avoidance	Hypocrisy	Sum
No	27.17	22.83	21.74	28.26	100.00
Yes	32.37	29.46	3.73	34.44	100.00

Notes: The results show no statistically significant association between the type of disclosure (comprehensive and selective) and the use of GRI standards. The second part of the table reveals a statistically significant association between the type of disclosure (comprehensive, vague, avoidance, and hypocrisy) and the use of GRI standards. Avoidance is less likely to occur in reports that follow GRI standards.

sustainability vs. integrated) are associated with selective disclosure. For this purpose, we employed logistic regression with the governance pillar as the benchmark ESG pillar. Given that specific areas of controversies are largely determined by the industry, we included industry dummies in the model with services as benchmark industry type. The results are presented in Table 12.

Table 12 reveals statistically significant results for ESG sub-pillar and industry type. In particular, with reference to the benchmark of governance pillar selective disclosure is negatively associated with customer-related controversies. Further, controversies on human rights/community and labor rights/supply chain is positively associated with selective disclosure. We also ran additional significance tests to determine whether there is a statistically significant difference between selective disclosure and ESG pillars. We found that customer controversy is less likely to be associated with selective disclosure than controversy related to other sub-pillars. Also, when we replaced the benchmark of the governance pillar with the environment pillar, the results, and their significance remained the same.

Table 9

Selective disclosure and the assurance of reports, Chi-Squared (N = 333).

Assurance and distinct type of disclosure (p > 0.1)					
Assurance	Comprehensive	Selective			Sum
No	27.07	72.93			100.00
Yes	33.50	66.50			100.00
Assurance and distinct type of disclosure (p < 0.001)					
Assurance	Comprehensive	Vague	Avoidance	Hypocrisy	Sum
No	27.07	16.54	19.55	36.84	100.00
Yes	33.50	35.00	1.50	30.00	100.00

Notes: The results show no statistically significant association between the type of disclosure (comprehensive and selective) and the assurance by the external auditor. The second part of the table reveals a statistically significant association between the type of disclosure (comprehensive, vague, avoidance, and hypocrisy) and the assurance by the external auditor. Hypocrisy and vague disclosure are revealed in reports with external assurance.

Table 10

Selective disclosure and the type of report, Chi-Squared (N = 333).

Type of report and distinct type of disclosure (p < 0.001)					
Type of report	Comprehensive	Selective		Sum	
Annual	25.00	75.00		100.00	
Sustainability	25.00	75.00		100.00	
Integrated	57.38	42.62		100.00	
Type of report and distinct type of disclosure (p < 0.001)					
Type of report	Comprehensive	Vague	Avoidance	Hypocrisy	Sum
Annual	25.00	23.21	25.00	26.79	100.00
Sustainability	25.00	31.48	4.63	38.89	100.00
Integrated	57.38	18.09	8.20	16.39	100.00

Notes: The results show a statistically significant association between the type of disclosure (comprehensive and selective) and the type of report (annual, sustainability, integrated). Selective disclosure is less likely to occur in integrated reports. The second part of the table reveals a statistically significant association between the type of disclosure (comprehensive, vague, avoidance, and hypocrisy) and the type of report (annual, sustainability, integrated). Avoidance is less likely to take place in integrated reports.

Table 11

Selective disclosure and the type of report, pairwise analysis (N = 333).

Type of report	Annual	Sustainability
Sustainability	0.070*	
Integrated	0.000*	0.018*

Notes: Post-hoc runs with the use of Bonferroni tests, significance level: *0.05.

The results show a statistically significant association (marked as *) between the type of disclosure (comprehensive, vague, avoidance, and hypocrisy) and the type of report for annual, sustainability, and integrated report.

Further, we did not find statistically significant results for assurance by the external auditor and the use of GRI standards. Finally, we found that selective disclosure is more likely to take place in annual reports as compared to integrated reports and in sustainability reports as compared to integrated reports.

Next, we ran models on the subsample of selective disclosure (230 controversies). We note, in line with the results of our primary analysis, that vague disclosure is marginally and positively associated with environment-related controversies, as well as negatively associated with labor rights/supply chain controversies. Moreover, contrary to our primary findings, the use of GRI standards is negatively associated with vague disclosure, and positively related to hypocrisy. We did not find support for the association between the types of selective disclosure and assurance.

In [Table 12](#) we do not report models for avoidance due to the low number of observations (31 controversies) and complete determination of this type of disclosure. We provide a breakdown of avoidance observations by selected explained variables in the [Appendix](#) in [Table A2](#). This data reveals that avoidance is more frequent for human rights/community and labor rights/supply chain as compared to other categories. It is also less likely to take place when companies adopt GRI and assurance by an external auditor.

We ran additional sets of logistic regressions controlling for firm-specific effects by adding a company dummy instead of the industry variable. We followed the same procedure as in [Table 12](#) using the governance pillar as a benchmark and calculating the models

Table 12

Results of the logistic model estimation on disclosure type and industry type, ESG sub-pillar, assurance, and the use of GRI standards.

	Disclosure (comprehensive = 0/selective = 1)	Vague (vague = 1; other = 0; selective disclosure subsample)	Hypocrisy (hypocrisy = 1, other = 0; selective disclosure subsample)
Customer	−0.16* (0.56)	−0.19 (0.91)	0.10 (0.80)
Environment	0.82 (0.51)	1.05 ⁺ (0.73)	−0.71 (0.66)
Human rights/ community	1.44** (0.52)	−0.07 (0.70)	−0.05 (0.63)
Labor rights/supply chain	1.75** (0.58)	−1.84** (0.75)	0.14 (0.62)
Assurance	0.22 (0.60)	0.50 (0.92)	0.27 (0.79)
GRI	−0.27 (0.51)	−1.57* (0.89)	1.06* (0.58)
Chemicals	0.02 (0.86)	3.28** (1.25)	−2.58* (0.81)
Energy	−0.99 (0.74)	1.37 (1.01)	−1.96* (0.82)
Extraction	−1.23* (0.67)	1.88** (0.91)	−1.54* (0.64)
Manufacturing	−0.91 (0.70)	3.63*** (1.01)	−2.64** (0.82)
Oil & Gas	−1.12 (0.78)	2.16** (1.07)	−1.68* (0.91)
Annual report	1.50** (0.51)	−0.85 (0.74)	0.65 (0.71)
Sustainability report	1.64*** (0.45)	0.46 (0.77)	0.07 (0.63)
N	333	230	230
Pseudo R squared	0.11	0.25	0.11

Notes: Significance level ***0.001, **0.01; *0.05; ⁺0.1; standard error in parentheses. The selective disclosure subsample includes 230 observations, with 95 observations of vague and 109 observations of hypocrisy disclosure.

for the overall sample as well as for two subsamples testing selective disclosure in the form of vague and hypocrisy. The results are presented in [Table A3](#) in the [Appendix](#). Due to the small number of observations compared to the number of variables used to estimate the models some of the results are not statistically significant yet the signs of the links remained the same as in [Table 12](#). With reference to the benchmark of the governance pillar selective disclosure is positively associated with reporting controversial events on labor rights/supply chain. Also, when we replaced the benchmark of the governance pillar with the environment pillar the results remained the same. In the case of hypocrisy disclosure, the robustness check reveals negative and statistically significant associations for controversies on the environment, human rights/community, and labor rights/supply chain.

Overall, the logistic regression estimation is in line with the earlier analyses providing support for hypotheses H1, H2, and H5, and partial support for H3, and H4.

6. Discussion and conclusion

In this paper we investigated the phenomenon of decoupling in corporate sustainability, exemplified by the practice of selective disclosure, using a sample of 333 negative events derived from the MSCI controversy database. We contribute to the research on decoupling in general and selective disclosure in particular by harnessing a counter-accounting approach to identify the forms and determinants of selective disclosure. Our findings suggest that sustainability-related controversies still tend to be frequently concealed from stakeholders. Merely 31 % of the identified negative events were comprehensively disclosed in the analyzed reports, while 41 % were not disclosed at all. Although the results are better than the 10 % and 20 % of comprehensive disclosure revealed by [Boiral \(2013\)](#) and [Macellari et al. \(2021\)](#) respectively, they uphold concerns over the credibility of sustainability reporting articulated in critical accounting studies from a decade ago ([Gray, 2010](#); [Milne & Gray, 2013](#); [Moneva et al., 2006](#)).

Our analysis revealed that selective disclosure occurs in three different forms: vague disclosure, avoidance, and hypocrisy. Around a quarter of the negative events in our sample were disclosed in a vague manner that does not provide stakeholders with complete information or obfuscates the bad news, and, as a result, does not allow them to assess the impact of a firm's operations. Furthermore, as mentioned 41 % of the events were not disclosed at all, though only 9 % were entirely avoided. In most non-disclosure cases (32 % of sample events), companies resorted to hypocrisy, i.e. they did not report on a negative performance in a specific area, yet at the same time provided positive information on corresponding sustainability initiatives. These results are in line with the growing body of literature providing strong empirical evidence on the presence of opportunistic and deceptive sustainability disclosure. The findings support the decoupling view on sustainability reporting, which is more often used to project a false impression of transparency ([Diouf & Boiral, 2017](#)) than as a tool to reduce information asymmetry ([Cahan et al., 2016](#)). As such, they highlight the need for a more

dialogic approach to sustainability reporting, allowing for more pluralism and inclusivity (Brown, 2009).

The theoretical implications of the findings refer to our current understanding of institutional decoupling. With the growing institutionalization of sustainability reporting practice (standards, assurance, introduction of mandatory disclosure frameworks) the techniques used by companies resorting to decoupling become more sophisticated. One might argue that the symbolic strategy of selective reporting involves less simple concealment and escape from inconvenient subjects, and more hypocrisy. This might suggest that contrary to what some authors assert (Haack et al., 2012), in highly opaque organizational fields (like corporate sustainability) decoupling does not “merely [amount] to a *transitory* phenomenon” (Haack et al., 2012, p. 817), but is rather a prevalent element of institutionalization process that changes forms over time.

Once we addressed the “how” question of selective disclosure, we focused on the identification of its determinants. Our conceptual framework focuses on three institutional determinants of decoupling: (1) goals consistency; (2) institutional uncertainty; (3) oversight. We tested the research hypotheses using a dichotomous distinction between comprehensive and selective disclosure, as well as performing additional analysis for the specific forms of selective disclosure identified in the first (qualitative) part of our study. Firstly, we addressed the effect of goals consistency on selective disclosure, revealing that the likelihood of symbolic practice differs across sustainability dimensions. In particular, the results show that selective disclosure is more likely to occur regarding labor rights/supply chain and human rights/community controversies. This indicates that in line with Dong et al. (2014) and Şener et al. (2016), employees, suppliers, and local communities are not perceived as salient stakeholders. The reason for this might be related to the fact revealed by Bird et al. (2007), that markets do not punish companies for their poor performance concerning community relations. However, the same authors find that strong and poor employee relations increase and decrease the market valuation, respectively, which should increase the salience of this particular group of stakeholders. Our results not only show that labor rights and supply chain issues are prone to selective disclosure, but also that companies are more likely to resort to avoidance or hypocrisy, and less likely to vague disclosure with respect to these issues. We link these findings to the characteristics of the sample companies – multinational corporations with operations far from headquarters and much more powerful than their suppliers.

Further, the results indicate that when a company chooses to selectively disclose controversies within the environmental dimension, it is more likely to produce vague disclosures. This is consistent with studies indicating that environmental concerns are detrimental to market value (Bird et al., 2007; Konar & Cohen, 2001). Thus, when they occur, companies are motivated to address the issue, but in a way that provides some justification and legitimacy, i.e., by disclosing ambiguous information or omitting certain facts.

Secondly, while we hypothesized that GRI influences the institutional uncertainty level and, as such, should have an impact on selective disclosure, our results fail to support this assertion. In other words, the use of GRI does not prevent selective disclosure. However, our analysis reveals that when a company engages in symbolic reporting, it is less likely to use vague disclosures and avoidance but more likely to resort to hypocrisy if it publishes GRI report. The results suggest that GRI motivates companies to increase the scope of their reporting but necessarily its balance. This indicates that institutional certainty introduced by the comprehensive GRI guidelines and indicators is limited by the flexibility of the framework and its lax enforcement. Voluntary initiatives, like GRI (Barbu et al., 2014; Lodhia et al., 2012) have failed to increase the credibility and usefulness of sustainability disclosures (D’Amico et al., 2016; Leong et al., 2014; Luque-Vílchez et al., 2023; Vigneau & Adams, 2023). Conversely, given the managerial discretion they provide, they create conditions conducive to opportunistic behavior (Kim & Lyon, 2011).

Hence, our findings challenge the progressive neoliberal assumptions of traditional accounting research about the efficacy of voluntary frameworks like GRI (George et al., 2023). As such, they support calls for revolutionary changes within sustainability standards that would enable addressing complexities related to sustainability (Pesci et al., 2023). Specifically, these changes should include a broader approach to stakeholder engagement and a radical inclusion of multiple perspectives through counter accounts (Morrison & Lowe, 2021). Furthermore, our study presents arguments in favor of sustainability disclosure legislation, which has been found to exert a positive and enduring influence on both the quantity (Fontana et al., 2015; Frost, 2007; da Monteiro & Aibar-Guzmán, 2010), as well as the quality of sustainability disclosures (Chelli et al., 2014; Fatima et al., 2015; Frost, 2007; Khan et al., 2021; Yang et al., 2021). However, despite the growing empirical evidence, there still exists a significant number of questions regarding the net effects of mandatory sustainability reporting (Haji et al., 2023, p. 195). Different laws, in different institutional environments, can have differing impacts on reporting practice (Lock & Seele, 2016). Some evidence from Australia (Bubna-Litic, 2008), China (Wang & Bernell, 2013), Norway (Vormedal & Ruud, 2009), and the USA (Peters & Romi, 2013), suggest poor compliance with compulsory disclosure requirements. Noncompliance might be the result of evasion, but also ignorance, when companies are simply not aware of the institutional rules or do not fully understand them (Brehm & Hamilton, 1996). While in the case of the former stringent stakeholder monitoring (Marquis et al., 2016) and sanctions (Sun & Zhang, 2019) play a critical role in triggering substantive adoption of legislation, the latter may be addressed with complementary guidelines (Chelli et al., 2018; Wang & Bernell, 2013). The cooperation between GRI and the European Financial Reporting Agency (EFRAG) to construct the European Sustainability Reporting Standard (ESRS) and set mandatory disclosure requirements under the EU Corporate Sustainability Reporting Directive (CSRD) will create an opportunity to empirically test the effects of enforcement and standardization mechanisms working together.

Thirdly, we found no statistically significant association between auditors’ oversight and selective disclosure. The results regarding specific forms of this practice show that avoidance is less likely to occur in assured reports. This indicates, in line with some previous studies (Boiral, 2013; Michelon et al., 2019), a merely symbolic role of assurance in sustainability reporting. The results may be explained by the fact that to date sustainability assurance has been provided at a limited or moderate level (Boiral et al., 2019) and its policy has been largely shaped by senior company management or professional associations, in such a way that it meets their own commercial and professional objectives (Smith et al., 2011). Our findings support calls for a universal and credible standard for the provision of independent assurance of social and environmental reporting (De Tienne & Lewis, 2005; Fonseca, 2010; Maroun, 2018) that moves away from compliance orientation towards experiential style aimed at organizational repair (Adams et al., 2023). The

results of this study also emphasize the need for greater stakeholder involvement (expanding beyond the narrow scope currently prescribed by GRI and practiced by companies) in the audit process (Manetti & Toccafondi, 2012) to reduce the firm-stakeholders (Dando & Swift, 2003) and ensure an increased focus on impact materiality and better representation of diverse interests in corporate disclosures. Given the growing regulatory interest in sustainability reporting worldwide, and the assurance requirements under the new EU corporate disclosure rules, improvements to the current sustainability assurance practice are all the more urgent.

While the results regarding the impact of GRI and assurance on selective disclosure are in line with other studies based on counter-accounting methodology (Boiral, 2013; Macellari et al., 2021), they are at odds with recent studies by García-Sánchez et al. (2022) and Ruiz-Blanco et al. (2022) using the “CSR gap” approach to measure decoupling. These inconsistencies highlight the critical role of decoupling measurement methodologies in corporate sustainability research. As discussed in the introduction, within the gap approach decoupling is defined as a difference between overall sustainability disclosure and sustainability performance as reported by a rating agency. While this methodology offers the opportunity for large-sample studies, it does not allow, by focusing on the quantity of disclosure rather than the content and manner of disclosure, the distinction of specific forms of selective disclosure. And as the results of this analysis show, the latter is determined by various factors. Moreover, since sustainability scores rely heavily on self-reported data and penalize missing information, they do not measure performance alone but rather serve as a combined metric of both performance and disclosure. As such, they assess company performance using the prevalent business-case logic in current sustainability reporting practices, while disregarding the voices of less powerful stakeholders (Brown, 2017; Brown & Dillard, 2014). Additionally, rating agencies often fail to distinguish between sustainability policies and actual performance in their assessments. In this way, companies that have high ratings due to sound policies can simultaneously be involved in numerous controversies – the quintessential policy-practice decoupling. Given the limitations of the gap approach, we call for further development of counter-accounting-based decoupling metrics – a topic we return to while discussing the limitations of this study.

Finally, our findings indicate, in line with the hypothesis, that selective disclosure is more likely to occur in annual and stand-alone sustainability reports while being less likely in integrated reports. With respect to specific types of selective disclosure, our results also reveal that avoidance is less likely to be present in integrated reports. With these findings, our study contributes to the debate on the impact of integrated reporting on the quality of sustainability-related disclosures (Rinaldi et al., 2018). According to the advocates of this reporting framework, it represents a reconciliation between shareholder and stakeholder theory (Eccles et al., 2014). By identifying interdependencies between different types of capital, integrated reporting promotes integrated thinking within organizations (Adams, 2015; Ballou et al., 2012; Eccles & Krzus, 2010). It represents an opportunity for improving transparency, governance, and decision-making for organizations (Adams & Simnett, 2011). Integrated reporting is believed to promote change in how organizations think about their social investment activities and link them to strategy (Adams et al., 2016; McNally & Maroun, 2018). Further, the framework’s flexibility increases the possibility of meaningful outcomes in its adaptation and rationalization in different local contexts (Sabelfeld et al., 2023). As such it has the potential to increase the perceived consistency between organizational goals and institutional standards fostering reporting policy-practice coupling.

While our findings provide empirical evidence to support this view, other researchers remain skeptical about the role of integrated reporting in increasing corporate transparency. Prior studies report that instead of triggering a radical and transformative change to disclosure processes integrated reporting merely gives rise to evolutionary changes (Stubbs & Higgins, 2014), failing to provide complete and balanced information on corporate sustainability performance (Ahmed Haji & Anifowose, 2016; Lock & Seele, 2016; Pistoni et al., 2018; Setia et al., 2015; Stacchezzini et al., 2016). Given these inconsistencies, there is a need for further inquiry into the boundary conditions for the effective implementation of IR. Accordingly, we support calls for studies seeking to understand mechanisms by which internal change associated with IR and ‘integrated thinking’ emerges and factors triggering these change mechanisms within organizations (De Villiers et al., 2014; Perego et al., 2016). Since the locus of research covered by the current IR literature is situated at the macro and meso levels, additional opportunities for such inquiry lie in examining the interactions between single individuals or small groups in implementing or understanding the IR idea (Rinaldi et al., 2018).

The findings of this study should be interpreted with some limitations. Most importantly, the analysis was conducted on a relatively small sample, which is inherently linked to the counter-accounting method. The feasibility of larger-scale counter-accounting-based research increases with the accelerating development of artificial intelligence and machine learning which have been successfully incorporated by researchers and investors to detect greenwashing (Cojoianu et al., 2020) and impression management (Berkin et al., 2023; Korzynski et al., 2021). We also encourage future studies covering other sectors to validate our results, in addition to further inquiry into the determinants of decoupling in sustainability reporting. Relatively little is still known about the organizational- and individual-level factors influencing selective disclosure, including board and CEO characteristics, sustainability leadership, internationalization, and organizational structure.

Moreover, the limitations of our approach are tied to the utilization of agency-provided counter accounts. As asserted in the literature, the democratizing potential of shadow accounts relies on their origins beyond the scope of market mechanisms (Cooper et al., 2005). Although MSCI ESG controversies are based on counter accounts sourced from media and NGOs, the selection of controversies for inclusion in the database and their assessment is conducted by MSCI analysts, with a primary focus on investors as the target audience. On the one hand, when disseminated through platforms like MSCI and other extra-financial agencies, counter-accounts emerging from social movements have a greater likelihood of resonating not only with “those who are already sympathetic with their contents” (Tweedie, 2022) but also reaching a more market-oriented audience. This, in turn, could bolster their political influence in the long run. On the other hand, we acknowledge that relying solely on the information provided by extra-financial agencies may introduce a bias towards the business-case logic already prevalent in sustainability reporting, potentially limiting the scope of our sample. Finally, we also acknowledge that failure to address controversial activities in sustainability reporting does not represent the entire, much broader problem of selective disclosure.

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Declaration of Competing Interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Data availability

Data will be made available on request.

Appendix

Table A1

Description of variables.

Variable	Definition
Disclosure	Dummy variable denoting disclosure type: Comprehensive, Selective
Vague	Dummy variable denoting vague disclosure as a type of selective disclosure
Avoidance	Dummy variable denoting avoidance as a type of selective disclosure
Hypocrisy	Dummy variable denoting hypocrisy as a type of selective disclosure
Sector	Dummy variables representing six sectors: Chemicals, Energy, Extraction, Manufacturing, Oil & Gas, Services
ESG sub_pillar	Dummy variables denoting pillar of ESG reporting by Global Compact: Customer, Environment, Governance, Human Rights & Community, Labor Rights, and Supply Chain
GRI	Dummy variable denoting whether the reporting on the controversy was conducted in accordance with GRI standards
Assurance	Dummy variable denoting whether the reporting was verified or not by an independent external auditor
Report	Dummy variables denoting disclosure of the controversy information in the annual, sustainability, or integrated report

Table A2

Breakdown of avoidance type of selective disclosure.

Explanatory variable	Avoidance (N = 31)	
	No	Yes
Customer sub-pillar		
0	184	30
1	15	1
Environment sub-pillar		
0	160	30
1	39	1
Governance sub-pillar		
0	173	31
1	26	0
Human rights/community sub-pillar		
0	118	21
1	81	10
Labor rights/supply chain sub-pillar		
0	161	12
1	38	19
Assurance		
0	71	26
1	128	5

GRI standards

(continued on next page)

Table A2 (continued)

Explanatory variable	Avoidance (N = 31)	
	No	Yes
0	47	20
1	152	11

Table A3

Results of the logistic model estimation on disclosure type, ESG sub-pillar, assurance, the use of GRI standards, and controlling for company effect.

	Disclosure (comprehensive = 0/selective = 1)	Vague (vague = 1; other = 0; selective disclosure subsample)	Hypocrisy (hypocrisy = 1, other = 0; selective disclosure subsample)
Customer	−0.30 (0.83)	−0.11 (1.72)	−1.04 (1.67)
Environment	−0.15 (0.78)	2.35 (1.60)	−3.05** (1.49)
Human rights/ community	0.24 (0.82)	1.19 (1.67)	−2.83* (1.51)
Labor rights/supply chain	1.74* (0.92)	−0.61 (1.80)	−2.98** (1.50)
Assurance	−16.52 (2657.03)	31.21 (4187.58)	1.96 (2.50)
GRI	−0.17 (0.88)	−33.67 (4185.22)	0.04 (0.84)
Annual	0.03 (0.71)	−0.07 (0.98)	0.05 (1.80)
Sustainability	18.33 (2657.03)	0.84 (1.71)	−0.20 (1.83)
Firm dummy included	Yes	Yes	Yes
N	333	230	230
Pseudo R squared	0.28	0.44	0.34

Notes: Significance level ***0.001, **0.01; *0.05; 0.1; standard error in parentheses. The selective disclosure subsample includes 230 observations, with 95 observations of vague and 109 observations of hypocrisy disclosure.

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